

grumbling about the government?) and they certainly make for great headlines.

The problem that most miss is that investors have to do *something* with those dollars. Pretend you were an investor in 1913. You could choose to put your dollars under a mattress, in which case your purchasing power would decline as indicated in the chart above. You could also spend the money on consumption, such as vacations, entertainment, clothes, or food. Or you could invest in Treasury bills, in which case the dollar was a perfectly fine store of value, and your \$1 would be worth \$1.33 today (for a real return of about 0.26% per year).

So you didn't really make any money, but you were not losing any either.

Note that "real returns" refer to the returns an investor receives after inflation. If an investment returned 10% (what we call nominal returns) but there was inflation of 2% that year, the real return is only 8%. Real returns are a very important concept as they make comparisons across timeframes more relevant. A 10% return with 8% inflation (2% real) is very different than a 10% return with 2% inflation (8% real). It is helpful to think about real returns as "returns you can eat." That \$1 Coke likely costs about the same as the \$0.10 Coke, you are just paying with inflated dollars (and probably getting corn syrup instead of real sugar).

If you had decided to take on a little more risk, you could have invested in longer duration bonds, corporate bonds, gold, stocks, housing, or even wine and art—all of which would have been better stores of value than your mattress.

Figure 3 shows the real returns of stocks, bonds, and bills. While \$1 would be worth only three cents had you put your hard-earned cash under the mattress, it would be worth \$1.33 had you invested in T-bills, worth \$5.68 in 10-Year Treasury bonds, and worth a whopping \$492 in U.S. stocks.